

Economic ties are the driving force of Japan-India relations



TALK WITH

HIDEAKI DOMICHI
AMBASSADOR OF JAPAN TO INDIA

Mr. Hideaki Domichi assumed office in November 2007, succeeding Yasukuni Enoki. In an interview with Veeshal Bakshi, he spells out his agenda and future roadmap of bilateral relations.

■ **How would you view the developments of India-Japan relations over the last few years?**

During former Japanese Prime Minister Mr. Shinzo Abe's official visit to India in August 2007, it was mutually decided that the Prime Ministers of both countries will pay reciprocal visits on each other by rotation every year. I understand that for India, such an arrangement exists only with Russia and Japan. But for Japan, India is the first country with which Japan has such an arrangement for reciprocal visits at the Prime Ministerial level. This gives an indication of the importance Japan places on its ties with India. Besides, relations between senior officials and political leaders at all levels are also deepening, in addition to the expansion of economic and people-to-people exchanges between the two countries.

■ **What initiatives is the Japanese Government taking to strengthen bilateral and economic relations between Japan and India in the future?**

Japan is currently engaged in negotiating an Economic Partnership Agreement (EPA) with India. In addition to this, we are also discussing with the Indian Government ways through which we can cooperate on major infrastructure projects. We hope that the Dedicated Freight Corridor project and the Delhi-Mumbai Industrial Corridor project, which are presently under discussion, will have a major impact towards boosting Japan-India relations further.

■ **What is the status of the Economic Partnership Agreements negotiations between Japan and India? What benefits will EPA provide to the two countries?**

This year, Indian Prime Minister Dr. Manmohan Singh is due to visit Japan in accordance with the two Prime Ministers' agreement. On that occasion, we

aim at reaching an agreement in principle for the EPA negotiations. The EPA will help in combining not only the two big economies of Japan and India, but would also have impact on the Asian region as a whole.

■ **Economic and trade relations between Japan and India are growing rapidly but the two countries would need greater interaction between the people to take relations to a higher level. What steps are being taken to increase social and cultural relations?**

People-to-people contact is one of the main pillars on which the relationship between our two countries rests. In order to further intensify interaction in this sphere, the Japanese government has introduced a number of initiatives, such as the 'Japan-East Asia Network of Exchange for Students and Youths' (JENESYS) Programme, under which about 550 Indian youth are being invited to visit Japan annually over a period of 5 years, beginning December 2007. In addition, Japan is cooperating with India towards realizing the target of 30,000 Japanese language learners in India by the year 2010, by providing training to Japanese language teachers in India. Other initiatives include the first-ever Japan-India Dialogue of Vice-chancellors/Presidents on Academic Exchange among leading higher educational institutions of both countries, held during Prime Minister Abe's visit last year. As is widely known, the year 2007 was designated as the "Japan-India Friendship Year" during which nearly 500 cultural events were held in both Japan and India to introduce each other's cultural heritage to the people of both countries. Besides this, the year 2007 was also named as the "Japan-India Tourism Exchange Year", with Japan and India reaffirming their willingness to promote bilateral tourism initiatives, including the target of increasing the number of visitors between the two countries to 300,000 by the year 2010 and to 500,000 by the year 2015.

■ **What economic policy changes would Japanese investors like to see to increase foreign direct investment (FDI) into India?**

We would like to see the policy of liberalization of the Indian economy, which started in the early 1990s, to be further accelerated. Japanese companies desiring to set up manufacturing bases in India often face difficulties in acquiring appropriate land for their factories and are also confronted with infrastructure problems like insufficient power and water supply, inadequate road conditions, and so on. We would therefore be happy if suitable action is taken to remove such obstacles, which would facilitate a conducive environment for more Japanese companies to come to India.

■ **You stated in your message soon after taking over as Ambassador that you will strive to take Japan-India trade/investment and people-to-people relations to the level of Japan-China relations. How do you plan to achieve that?**

The rapid growth of the Indian economy, coupled with economic development in China and ASEAN countries, has drastically changed the regional map in Asia. I believe that the relations among major Asian economies will become even closer. Among such major economies, Japan and India have the greatest potential to develop their ties. I am confident that we can accelerate the development of our bilateral relations at the pace comparable to or even faster than that of Japan-China relations. The trade and investment between the two countries are expanding rapidly and this trend will be surely maintained. These economic ties are the driving force of Japan-India relations. People-to-people exchange is the area to which we need to make steady efforts, including its institutional arrangements. I would like to strengthen the framework of our political dialogue as well.